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IN THE UNITED STATES BANKRUPTCY COURT FOR THE WESTERN DISTRICT OF OKLAHOMA OKLAHOMA CITY DIVISION

In re:	)	
	)	Case No. 26-11985-sah
FAIRFAX BEST LIVING, LLC,	)	
	)	Chapter 11
Debtor.	)	

DEBTOR'S EMERGENCY MOTION FOR TURNOVER OF PROPERTY OF THE ESTATE AND BRIEF IN SUPPORT

NOTICE OF OPPORTUNITY FOR HEARING

Your rights may be affected. You should read this document carefully and consult with your attorney about your rights and the effect of this document. If you do not want the court to grant the requested relief, or you wish to have your views considered, YOU MUST FILE A WRITTEN RESPONSE OR OBJECTION TO THE REQUESTED RELIEF WITH THE CLERK OF THE UNITED STATES BANKRUPTCY COURT FOR THE WESTERN DISTRICT OF OKLAHOMA, 215 DEAN A. MCGEE AVENUE, OKLAHOMA CITY, OK 73102, NO LATER THAN 5:00 P.M. ON JULY 2, 2026. You should also serve a file-stamped copy of your response or objection on the undersigned movant's attorney and any others who are required to be served. If no response or objection is timely filed, the court may grant the requested relief without a hearing or further notice.

NOTICE OF HEARING

AN EXPEDITED HEARING ON THIS MOTION HAS BEEN SET FOR JULY 8, 2026 AT 10:00 A.M. BEFORE THE HONORABLE SARAH A. HALL, 9TH FLOOR COURTROOM, UNITED STATES BANKRUPTCY COURT FOR THE WESTERN DISTRICT OF OKLAHOMA, 215 DEAN A. MCGEE AVENUE, OKLAHOMA CITY, OKLAHOMA 73102.

TO THE HONORABLE UNITED STATES BANKRUPTCY COURT:

COMES NOW Fairfax Best Living, LLC, the debtor in the above-styled and numbered case (the "Debtor"), and files this Motion for Turnover of Property of the Estate and Brief in Support (the "Motion"), and in support of same would respectfully show the Court as follows:

I. JURISDICTION AND VENUE

1. This Court has jurisdiction over this Motion pursuant to 28 U.S.C. §§ 157 and 1334. Venue is proper in this District pursuant to 28 U.S.C. §§ 1408 and 1409. This is a core proceeding pursuant to 28 U.S.C. § 157(b)(2)(A) and (E).

2. The statutory predicates for the relief requested herein are sections 105(a) and 543 of title 11 of the United States Code, and Rule 6002 of the Federal Rules of Bankruptcy Procedure.

3. A group of four related debtors (including this Debtor) filed Chapter 11 cases in this Court: Fairfax Investors, LLC (Case No. 26-11984); Fairfax Best Living, LLC (Case No. 26-11985); Woodland Oaks Best Living, LLC (Case No. 26-11986); and Woodland Oaks Investors, LLC (Case No. 26-11987) (collectively referred to herein as the "Debtors"). The Debtors have filed, or are contemporaneously filing, a motion for joint administration of these cases[1].

II. BACKGROUND

4. On June 12, 2026 (the "Petition Date"), each of the Debtors filed a voluntary petition for relief under chapter 11 of the Bankruptcy Code in this Court.

5. The Debtors continue to operate and manage their property as debtors in possession pursuant to sections 1107(a) and 1108 of the Bankruptcy Code, subject to the Receivership Order

[1] Because joint administration has not yet been granted, similar versions of this Motion will be filed contemporaneously in all the Debtors' cases.

described below. No trustee or examiner has been appointed, and no official committee has been appointed.

6. The Debtors own two multi-family apartment complexes located in Oklahoma (together, the "Properties"): (a) the apartment complex known as "Fairfax Apartments" or "Fairfax," located at 7801 NE 10th Street, Midwest City, Oklahoma 73110, which is owned as tenants in common by Fairfax Best Living, LLC and Fairfax Investors, LLC ("Fairfax Property"); and (b) the apartment complex known as "Woodland Oaks Apartments" or "Woodland Oaks," located at 7142 South 92nd East Avenue, Tulsa, Oklahoma 74133, which is owned as tenants in common by Woodland Oaks Best Living, LLC and Woodland Oaks Investors, LLC ("Woodland Oaks Property") (collectively with the Fairfax Property the "Properties).

7. Prior to the Petition Date, on or about February 4, 2026, the District Court of Oklahoma County, State of Oklahoma, entered an Amended Agreed Order of Appointment of a Receiver (the "Receivership Order") in the case styled Saperean Capital IV TB Note Lender KD4, LLC v. Woodland Oaks Best Living, LLC, et. al. (including the Debtor herein), Case No. CJ-2025-8499 (the "State Court Action").

8. Pursuant to the Receivership Order, Scott Shefman of Friedman Real Estate Management was appointed as receiver (the "Receiver") for the Properties. The Receiver thereafter took possession, custody, and control of the Properties and of the rents, income, accounts, deposits, books, and records associated with the operation of the Properties, and the Receiver continues to hold the same as of the Petition Date.

9. In support of this Motion, the Debtors rely upon and incorporate by reference the following exhibits: the Receivership Order (Exhibit A), the Receiver's March 2026 financial

reporting (Exhibit B), and the 13-week cash-flow budgets for Fairfax (Exhibit C) and Woodland Oaks (Exhibit D).

III. GROUNDS FOR RELIEF

10. The operating evidence demonstrates that the Properties do not suffer from a fundamental operating problem. Rather, the Properties face a capital and liquidity problem, and the operating platform is capable of covering ordinary operating costs when one-time and distress-related items are accounted for.

11. The Receiver's March 2026 reporting reflects that the Woodland Oaks Property generated positive net operating income of approximately $78,788, and remained positive after recurring capital expenditures, while the Fairfax Property showed an operating loss of approximately $55,433 that was driven materially by a single, non-recurring water-and-sewer charge of $88,205.26. Normalized for that one-time item, the Fairfax Property operates near breakeven at the property level, as more fully described in Exhibit B.

12. The 13-week cash-flow budgets project that both Properties will generate operating surpluses before debt service and restructuring costs—approximately $133,916 for the Fairfax Property and approximately $458,032 for Woodland Oaks Property over the forecast period—as set forth in Exhibits C and D. These forecasts demonstrate that the principal constraint is capital structure and liquidity, not the Properties' core operating viability.

13. The Receiver's March 2026 reporting reflects materially elevated vacancy compared with prior performance: approximately 31.5% of market rent for the Woodland Oaks Property and 25.8% for the Fairfax Property. Continued receivership control has impaired, and will continue to impair, the Debtors' ability to stabilize the Properties, including through staffing vacancies, deferred unit turns, and restricted access to operating information, and it creates a risk

of continued erosion of value to the detriment of the estates and their creditors. The Debtors are also in the process of obtaining debtor-in-possession financing, which the Debtors understand will be available only if the Debtors are in possession of and operating the Properties.

14. Accordingly, the value of the Properties and of the Debtors' estates is best preserved and maximized by returning possession, custody, and control of the Properties to the Debtors so that the Properties may be operated, stabilized, and restructured under this Court's supervision.

IV. RELIEF REQUESTED

15. By this Motion, the Debtors request entry of an order directing the Receiver to immediately turn over and deliver to the Debtors' possession, custody, and control of the Properties and all related personal property, equipment, books, records, rent rolls, leases, rents, income, accounts, security deposits, reserves, bank accounts, and proceeds thereof, and to file an accounting in accordance with section 543(b)(2) of the Bankruptcy Code and Bankruptcy Rule 6002.

V. BRIEF IN SUPPORT

16. A receiver appointed over a debtor's property is a "custodian" within the meaning of section 101(11) of the Bankruptcy Code.

17. Section 543(a) of the Bankruptcy Code provides that a custodian with knowledge of the commencement of a case concerning the debtor may not make any disbursement from, or take any action in the administration of, property of the debtor, proceeds, product, offspring, rents, or profits of such property, except such action as is necessary to preserve such property.

18. Section 543(b) requires the custodian to (i) deliver to the trustee any property of the debtor held by or transferred to such custodian, and any proceeds, product, offspring, rents, or profits thereof, and (ii) file an accounting of any such property that came into the custodian's

possession, custody, or control. Pursuant to section 1107(a), a debtor in possession has and may exercise the rights and powers of a trustee, including the right to receive such turnover, and Bankruptcy Rule 6002 requires the custodian to file a report and account.

19. Section 543(d)(1) permits the Court to excuse compliance with section 543(a) and (b) only if the interests of creditors and, if the debtor is not insolvent, of equity security holders, would be better served by permitting the custodian to continue in possession, custody, or control of such property. Here, the interests of creditors and the estates would be better served by turnover to the Debtors, not by continued receivership administration.

20. The burden should remain on any party seeking to excuse turnover to show that creditors would be better served by continued receivership control. That showing cannot be made on this record. The Properties are operating apartment assets that can generate positive operating cash flow before debt service; the elevated vacancy and capital needs are remediable; and return of the Properties is the proper way to coordinate stabilization, financing, cash collateral, adequate protection, and restructuring.

21. Turnover will not harm creditors. To the contrary, turnover will preserve value by allowing the Debtors to restore access to information, manage operations directly, pursue debtor-in-possession financing, deploy unit-turn capital, fill staffing gaps, maintain reporting under this Court's supervision, and address secured-creditor protections.

22. Continued receivership control would impair the estates by delaying stabilization, fragmenting decision-making, limiting the Debtors' access to operational data and systems, and preventing or jeopardizing the Debtors' ability to obtain financing that depends on Debtor possession and operational control.

23. The Debtor does not, by this Motion, object to the allowance of reasonable compensation and reimbursement of actual, necessary expenses of the Receiver to the extent permitted under section 543(c) of the Bankruptcy Code, subject to the Court's approval and to the Debtor's rights to review and object to any such amounts.

24. Section 105(a) of the Bankruptcy Code authorizes the Court to issue any order, process, or judgment that is necessary or appropriate to carry out the provisions of the Bankruptcy Code, including the turnover relief requested herein.

25. This Motion is supported by the Declaration of Marc Kulick filed at Docket No. 28.

WHEREFORE, the Debtor respectfully requests that the Court enter an order, substantially in the form submitted herewith, (i) directing the Receiver to immediately turn over and deliver to the Debtor the Properties and all related property, rents, income, accounts, deposits, books, and records as described above; (ii) directing the Receiver to file an accounting in compliance with section 543 of the Bankruptcy Code and Bankruptcy Rule 6002; and (iii) granting the Debtor such other and further relief as the Court deems just and proper.

Dated: June 24, 2026.

Respectfully submitted,

/s/ Joyce W. Lindauer
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PROPOSED ATTORNEYS FOR DEBTORS

CERTIFICATE OF SERVICE

The undersigned hereby certifies that on June 24, 2026, a true and correct copy of the foregoing Motion for Turnover of Property of the Estate and Brief in Support was served via the Court's CM/ECF system upon all parties registered to receive electronic notice in these cases, via United States first class mail, postage prepaid on the parties on the attached service list, and by email on the parties listed below.

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/s/ Joyce W. Lindauer
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